

Density of test statistic under H_0

α is the level (or size) of the test.

$p\text{-value} > \alpha$, which implies
that we cannot reject H_0

Sum of areas = p-value

sample-based) Test statistics S

$\Phi_S^{-1}(\alpha/2)$

$\Phi_S^{-1}(1 - \alpha/2)$

0.0
0.1
0.2
0.3
0.4
0.5

-4

-2

0

2

4

Test statistic S

